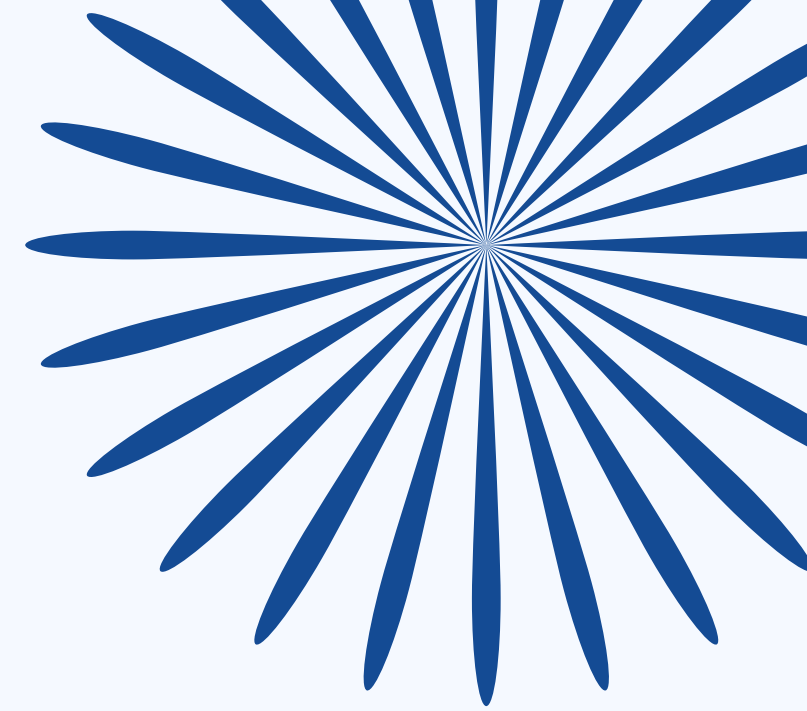




USDT COMPETITIVE INTELLIGENCE REPORT

A Strategic Analysis of Stablecoin Ecosystems

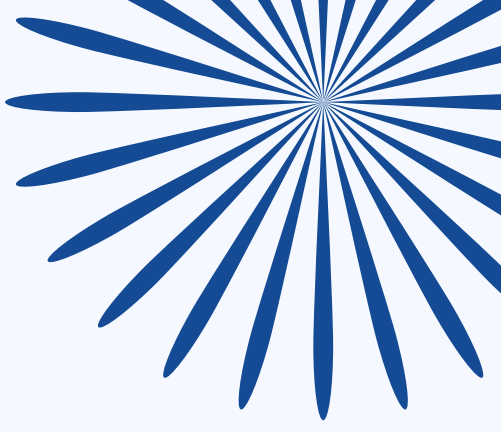
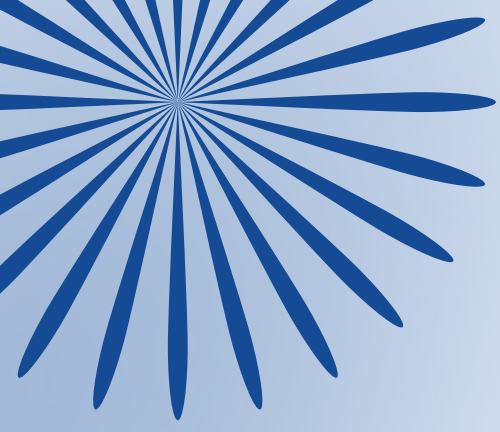
Persona: Competitive Intelligence Analyst (USDT/Tether)

Focus: USDT Market Position vs. USDC, DAI, PYUSD

Time Period: Last 60 Days (Rolling Window)

Group 2:

Bhide, Poorva
Karri, Lalitha Lahari
Lai, Eugenie
Lin, Shih-Fu



PROJECT OVERVIEW

**This dashboard evaluates USDT's competitive position against USDC, DAI, and PYUSD
across four dimensions:**

Sector penetration, user type, transaction behavior, and retention (velocity).

The goal is to understand where USDT is leading, where it is lagging.



METHODOLOGY AND DATA

Data Sources (Dune Analytics):

- **erc20_ethereum.evt_Transfer:** Core table used to track all wallet movements, volume, and transaction counts.
- **labels.addresses:** Used to categorize destinations into Sectors (DeFi, CEX, Bridges, MEV Bots).
- **tokens_ethereum.balances:** Used to calculate Whale Concentration.

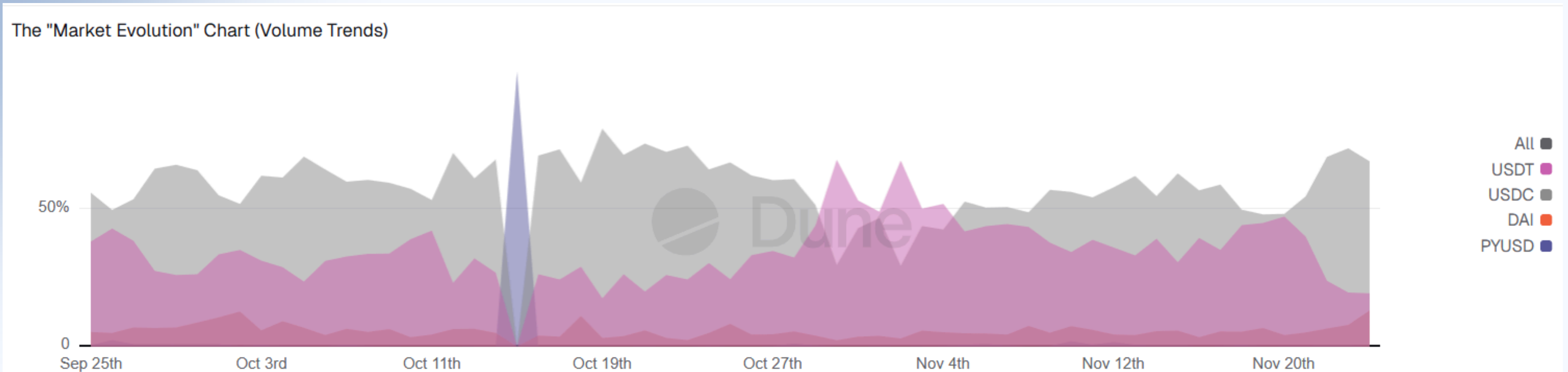
Methodology:

- **Time Window:** Filtered for the last 60 Days.
- **Normalization:** Adjusted for decimal differences (USDT/USDC = 6 decimals, DAI = 18 decimals) to ensure accurate USD volume comparisons.
- **Bucketing:** Classified users by transaction size (Retail <\$1k, Traders 1k–100k, Whales >\$100k).

Key Limitations:

- **Computation Limits (The 60-Day Constraint):** Due to the massive dataset size of USDT/USDC transfers, queries looking back 180+ days caused timeouts. With some of the query, we restricted the scope to 60 days to ensure query stability.
- **Ethereum-Only Bias:** This analysis is limited to Ethereum Mainnet. It excludes TRON (where USDT dominates significantly) and Layer 2s (Arbitrum/Optimism), potentially underrepresenting USDT's total global footprint.
- **Unlabeled Addresses:** A significant portion of USDT volume flows to "Unlabeled" addresses. We assume these are P2P/OTC deals, but without precise labels, "Gray Zone" activity is hard to categorize.

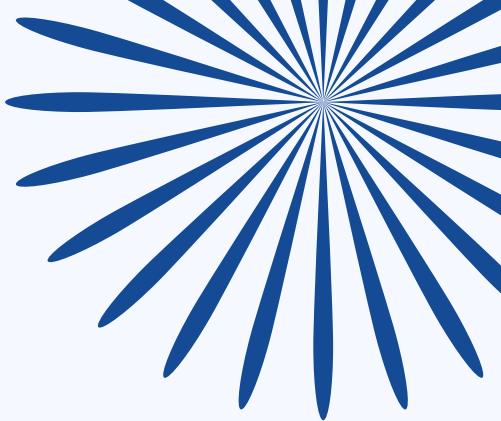
MARKET EVOLUTION



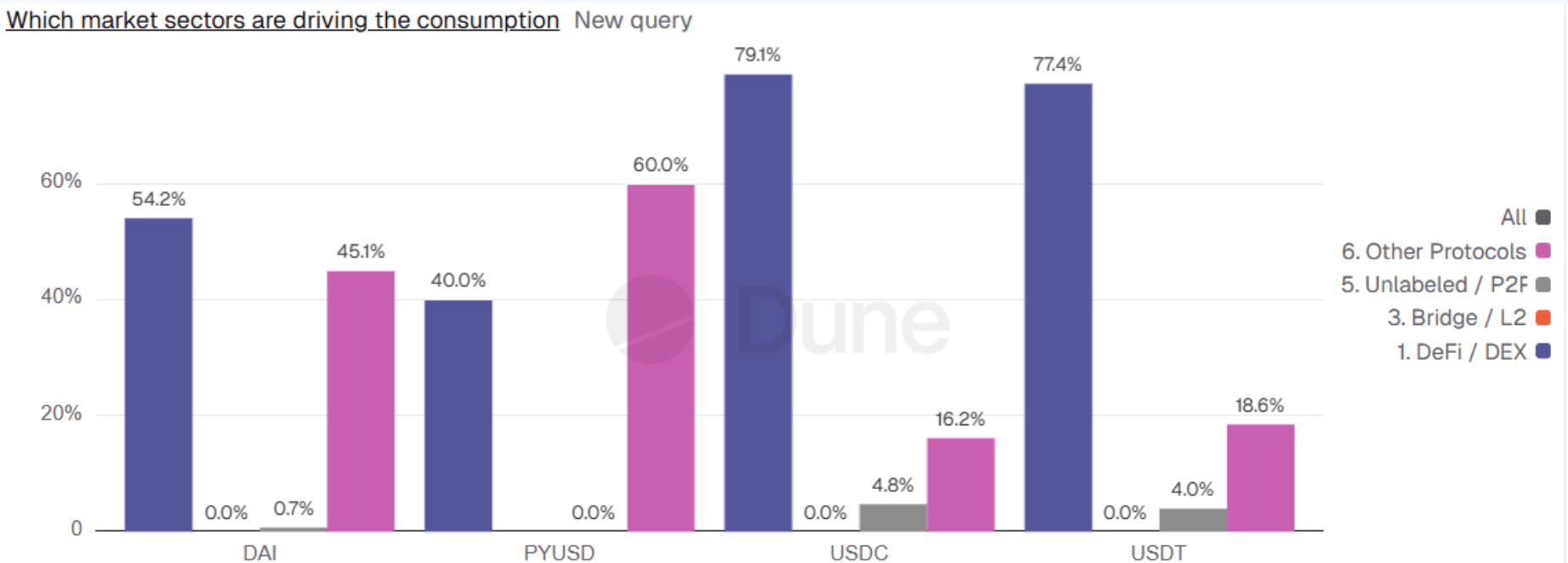
Key Insights:

- USDT and USDC dominate daily transfer volume throughout the period, consistently making up the largest share of activity.
- DAI and PYUSD remain minor contributors, with very small and stable volumes.
- A sharp spike occurs around mid-October, likely caused by one-time large transfers or abnormal activity.
- Overall market shares remain fairly stable, with only moderate fluctuations across tokens from late September to late November.

SECTOR ANALYSIS:



- Our deep dive into sector consumption reveals a significant lag in DeFi integration, where USDC processed ~
- 908Billion in volume compared to USDT
- 650 Billion, giving them a ~40% lead in absolute value moved through decentralized exchanges.
- This disparity confirms that USDC has cemented itself as the "Base Layer" for DeFi, users their US-regulated status as "safe collateral" over our commercial utility.
- However, a key competitive advantage remains in the "Other Protocols" sector , where USDT holds a higher market share (18.6% vs. 16.2%), indicating that active traders and complex routing strategies still rely.



volume_usd SUM	token			
sector_group	DAI	PYUSD	USDC	USDT
1. DeFi / DEX	798831674044.7792	1800091396197163	9081230558982.135	6497713496037.083
3. Bridge / L2	343974736.5816319		391364552.6240607	393308309.4500321
5. Unlabeled / P2P	10089825229.830772	6970530462.999544	547565353936.40704	334520389836.4563
6. Other Protocols	663807077846.4147	2700026248916218	1857736000661.7673	1557434621753.8296

WHO ARE THE MAIN USERS?

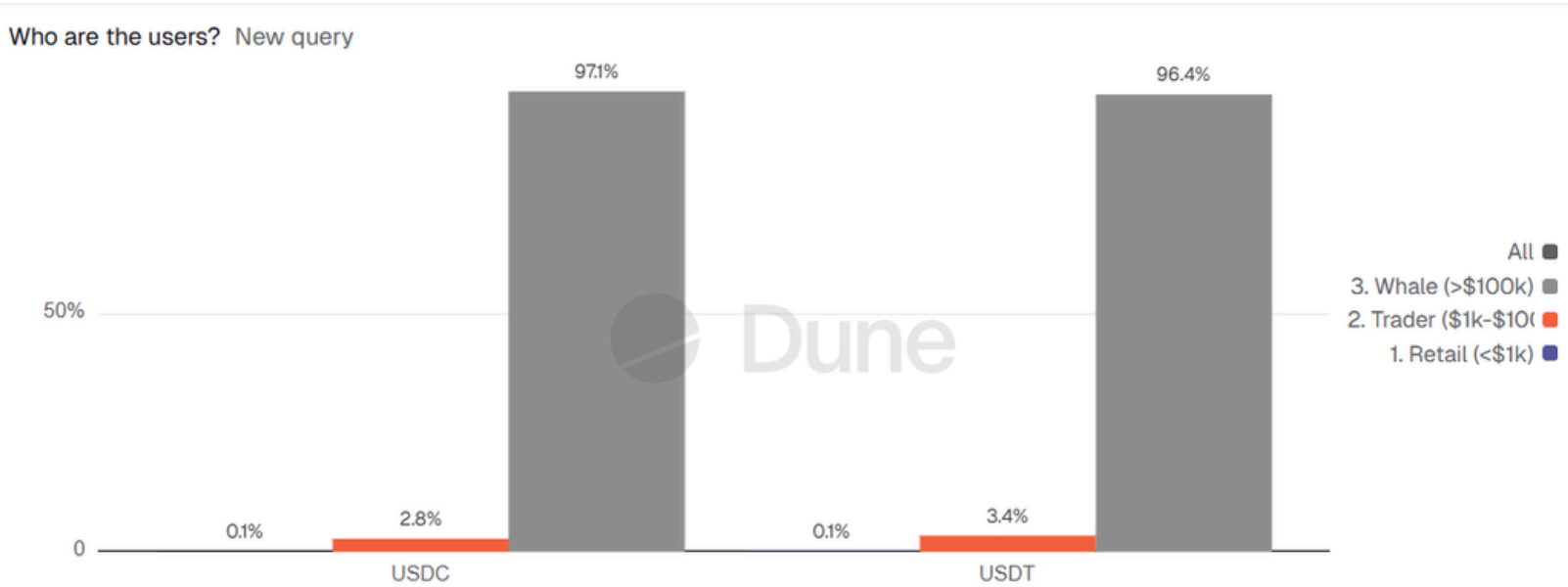
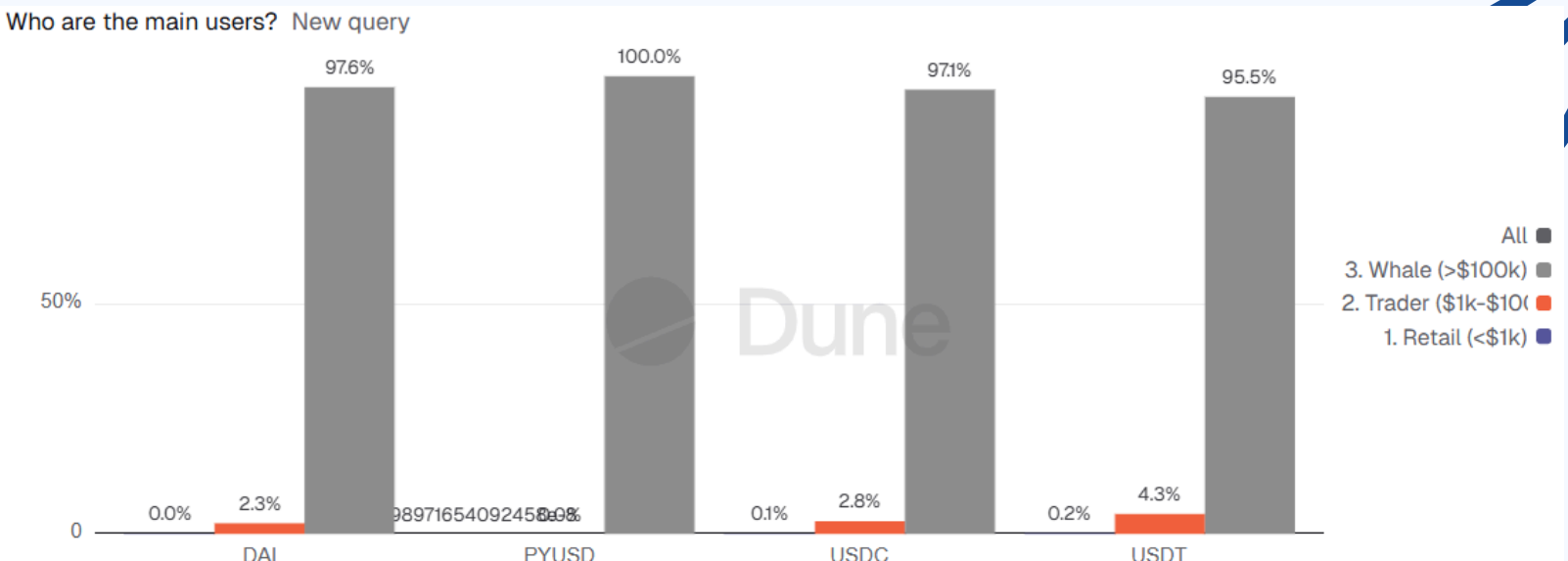
When we look at total dollars moved, Both USDT and USDC are dominated by Whales leading the massive grey bars. USDC is currently moving about \$1 Trillion more in whale volume than USDT over this 60-day period.

Key Data Points:

- The 96% Rule: For both USDT and USDC
- USDC Whale Volume: ~\$2.8 Trillion (Higher than USDT).
- USDT Whale Volume: ~\$1.8 Trillion.

Looking at the smaller players, we see they are too concentrated:

- PYUSD and DAI : Is almost 100% Whale volume. which are the only source, while DAI shows that it has nearly 2.3% traders other than the whales.



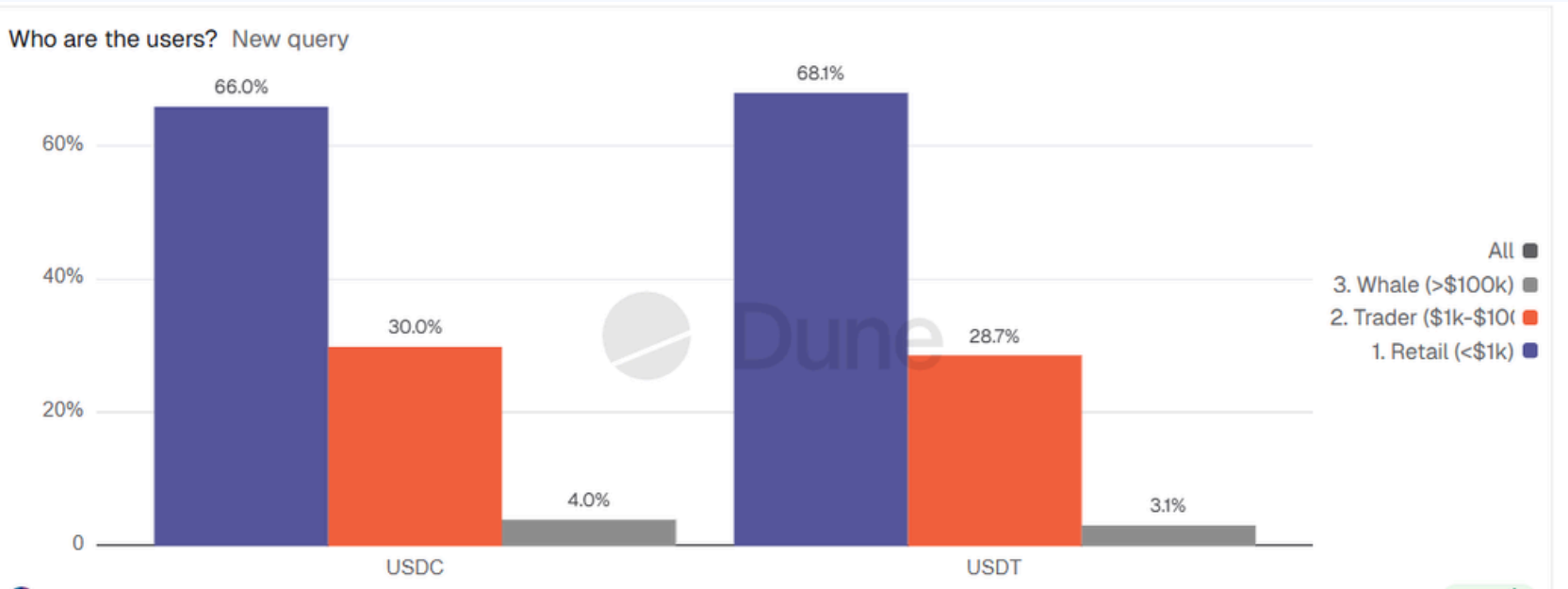
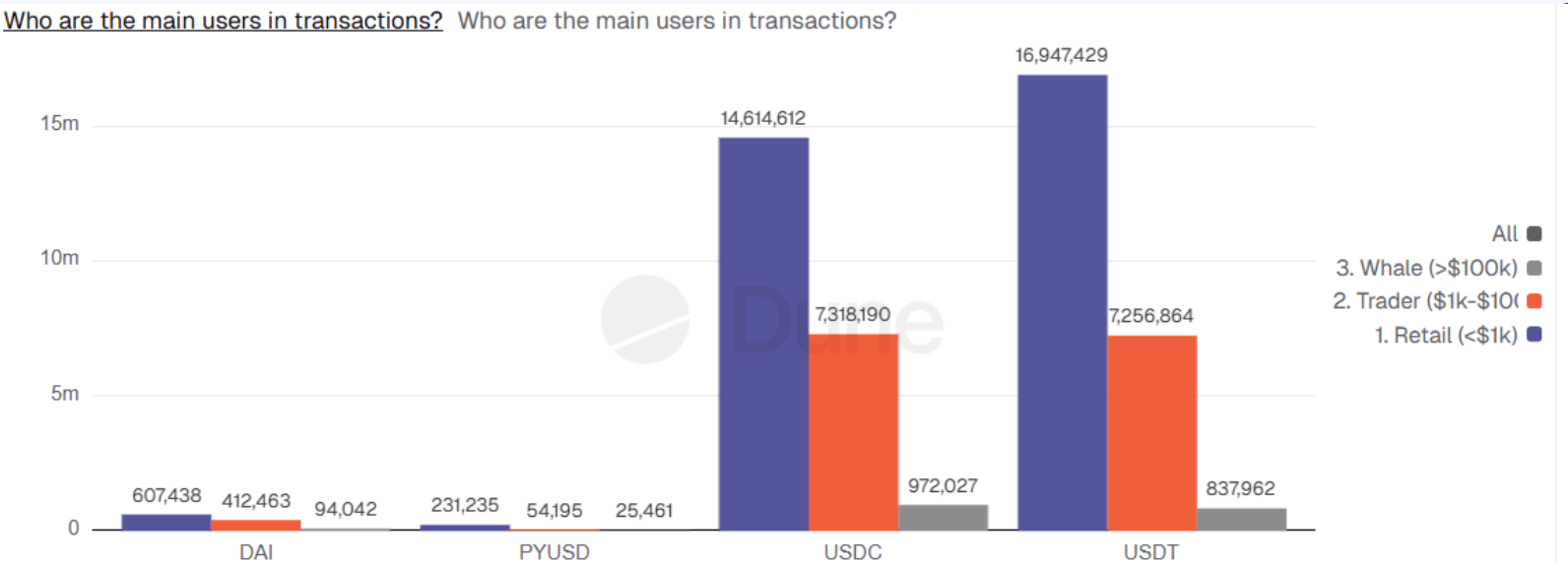
		user_type		
token	Values	1. Retail (<\$1k)	2. Trader (\$1k-\$100k)	3. Whale (>\$100k)
DAI	total_volume SUM	124626338.46837345	6267112299.038398	264626833562.63263
	transfer_count SUM	593006	412051	95584
PYUSD	total_volume SUM	35837588.618555956	873260926.1685674	600023658288160.5
	transfer_count SUM	230258	53319	25179
USDC	total_volume SUM	2764137851.471698	82043009925.02617	2819971390363.7114
	transfer_count SUM	14585122	7376926	994075
USDT	total_volume SUM	2854394640.932874	81614052137.77794	1799954510775.2458
	transfer_count SUM	16892982	7293489	854997

THE "HIDDEN" VICTORY – IN RETAIL

When USDT ignore the billions of dollars and just count Active Users, the story flips.
USDT winning the Retail War.
Our data shows that **USDT moved 100MillionMORE than USDC did.

Key Data Points:

- Transaction Count Split:
 - USDT: 68.1% Retail (<\$1k), 28.7% Trader.
 - USDC: 66.0% Retail (<\$1k), 30.0% Trader.
- The "Real Money" Stat Pivot:
 - USDT Retail Volume: \$2.85 Billion
 - USDC Retail Volume: \$2.76 Billion



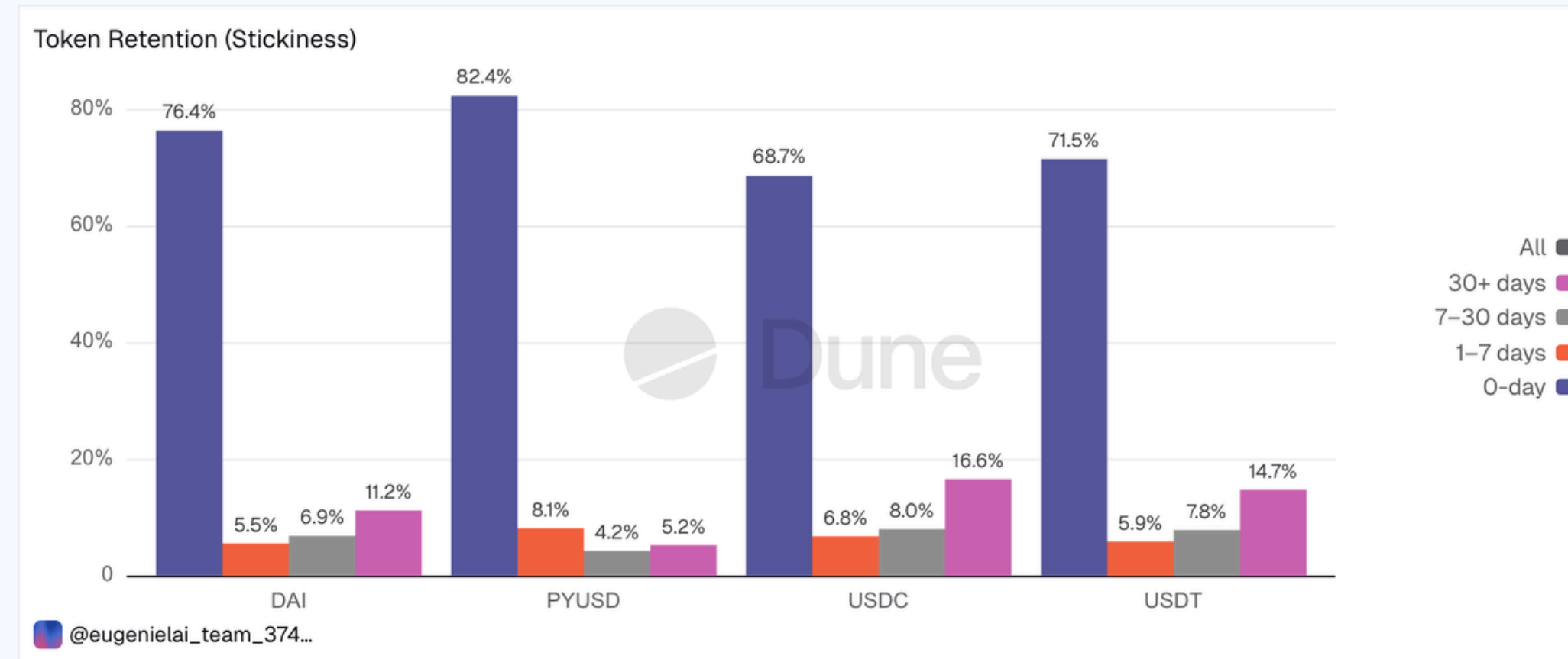
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TOKEN RETENTION (STICKINESS / VELOCITY)

How Long Do Users Stay Active With Each Stablecoin?

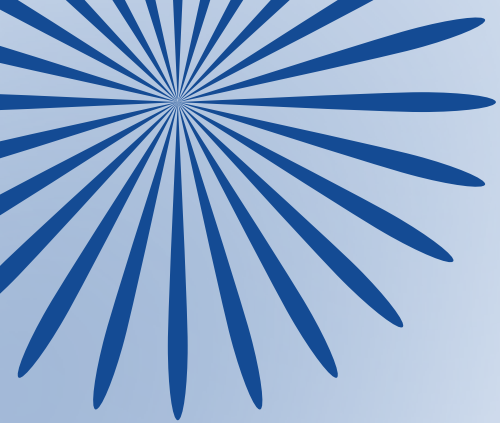
User activity is segmented into four lifecycle buckets:

- 0-day: Single-day users (one-time transfer; pure velocity)
- 1–7 days: Short-term repeat users
- 7–30 days: Medium-term engaged users
- 30+ days: Long-term active users (“capital in motion” over time)



🔍 Key Insight

- This chart measures how many days each wallet remained active for each stablecoin over the past 180 days. Most wallets interact only once (0-day), showing that stablecoin transfers on Ethereum are largely one-off events such as deposits, withdrawals, or bridge operations.
- DAI & USDC show more multi-day activity, reflecting deeper use in DeFi and institutional flows.
- USDT has lower multi-day activity because most USDT volume happens off-chain on exchanges.
- PYUSD shows early-stage behavior with mostly single-day users.



SWOT ANALYSIS

Strengths

- Retail Dominance: Unrivaled leader in transaction counts for <\$1k transfers (The "Main Street" User).
- CEX Liquidity: The primary settlement currency for global centralized exchanges.

Weaknesses

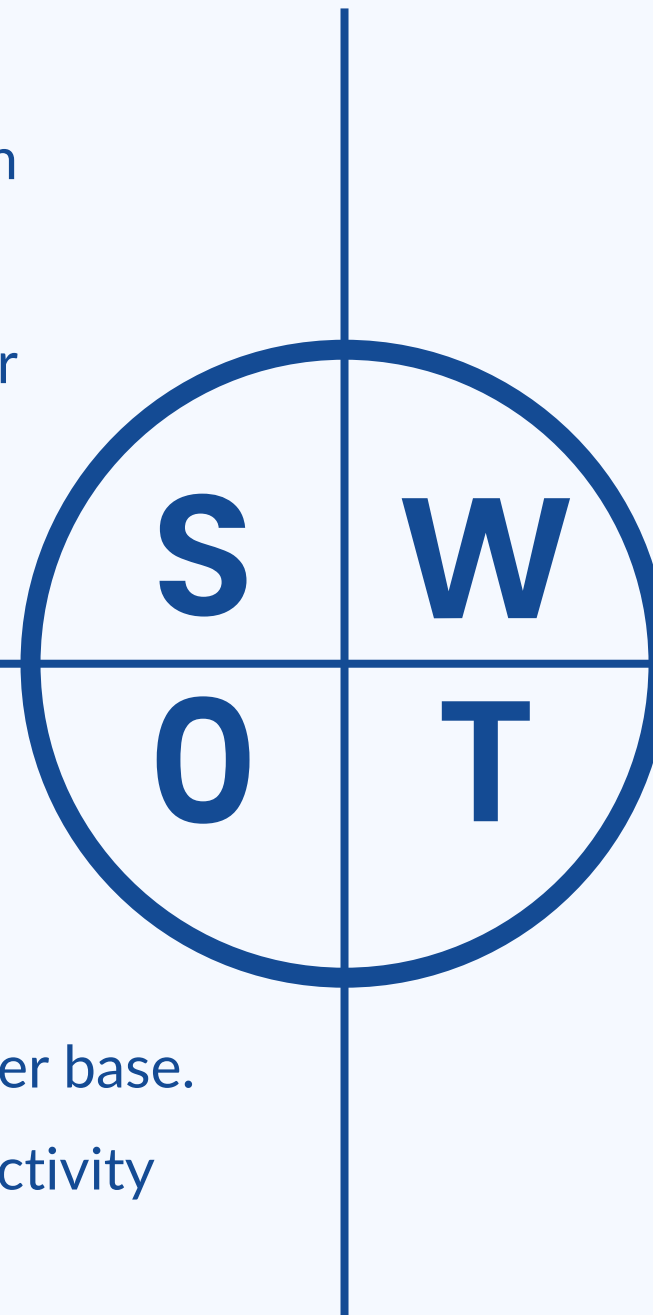
- DeFi Gap: Lagging behind USDC in on-chain protocol integration and yield farming utility.
- Opaque Flows: Heavy reliance on "Unlabeled" destinations creates compliance blind spots.

Opportunities

- Layer 2 Expansion: Aggressively integrate with Arbitrum/Base to lower fees for our massive retail user base.
- Global Remittances: Formalize the "Unlabeled" P2P activity into partnerships with global payment gateways.
- Emerging Markets: Target inflation-hedging users who need liquidity over DeFi yield.

Threats

- Institutional Flight: "Whales" (who drive 90% of volume) prefer USDC for regulatory safety.
- PayPal (PYUSD): A new, trusted fintech competitor entering our core "Payments" sector.





CONCLUSION & NEXT STEPS

Conclusion:

- USDT is "Main Street" Money: We are the undisputed king of liquidity and real-world transactions. While USDC has captured the "Wall Street" (DeFi) niche, USDT remains the preferred currency for actual trading and global payments.
- Retail Fortress: Our massive lead in <\$1,000 transactions proves we are the only stablecoin with true retail adoption.

Next Steps:

1. Win the "Gas War" (Layer 2s)

- Action: Aggressively integrate with low-fee networks like Arbitrum and Base.
- Why: Our retail users are sensitive to fees. If we don't move where they are, they will leave.

2. Ignore DeFi, Embrace Payments

- Action: Stop competing with USDC for low-margin DeFi yield. Shift resources to partner with Payment Gateways and Remittance firms.
- Why: Our data shows huge "Unlabeled" flows—this is real economic activity we need to capture formally.

3. Monitor the "New Guys"

- Action: Track PYUSD (PayPal) closely.
- Why: They are the only competitor targeting our core "Payments" sector. We must defend our retail moat.